

BETTING BIG ON ORGANIC GROWTH

Rajesh Gopinathan, CEO and MD of Tata Consultancy Services, believes growth has to be organic and profitable. And the only way to do that is to constantly reinvent

By **Nidhi Singal**

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► **CRICKET IS THE** most popular game in India by a mile. While you will have the fan rattling off numbers with remarkable levels of accuracy, there is another set that is fascinated by the skills, strategies and what have you. Rajesh Gopinathan, CEO & MD of Tata Consultancy Services (TCS), falls in the latter and easily draws an analogy to his own business.

“We are masters at playing the ball, but we also are good at leaving the ball that doesn’t make sense to us. In that sense, we know where our outcome is and we will cover for it. There is logic in waiting for the opportunity and then getting the best out of it,” explains Gopinathan. The point TCS’s boss makes is how a product-based company needs to anticipate changes and take a forward call of five to 10 years ahead. That said, for those that are consulting-oriented, that timeline is a year or, at best, two. “If you are looking at a player in technology services, it needs to be even closer. Based on the business model and your own strategy, you play in the space you need to play or, rather, play the ball in front of you and not think about what the ball will be,” he says with a smile.

Obviously, this approach has worked rather well and the numbers tell a tale. TCS’s market capitalisation touched \$200 billion in September 2021, doubling from \$100 billion in April 2018. That’s only one part. In the five years that Gopinathan has been at the helm of affairs, its \$50 million-plus clients have shot up by 25.5 per cent, while the growth rate for \$100 million-plus is up by a more impressive 56.75 per cent. Little wonder, Gopinathan finds himself the winner in the Super Large Companies category of the BT-PwC India’s Best CEOs ranking. The right buttons were pressed in time and a case in point is how digital was starting to become a major disruptor. He and TCS’s senior management figured it was a skillset that could be picked up internally. “We enabled a learning platform for the team and scaled it up to about 250,000 by 2017,” he says.

Then, it was time to look at new ways to be more relevant to the customer. “The velocity of transformation at his end was increasing. It was not just about technology but the overall business as well. Our skill lay in a deep understanding of where they are currently placed apart from knowing which

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